File 27: Stream Mitigation Economics & Landowner Deal Structuring Guide

> ***B2B Ecological Deal Structuring Blueprint**: - **Is 70/30 Split Good?**: A 70/30 credit split (70 percent to the Developer, 30 percent to the Landowner) is **highly competitive and represents a premium landowner-favorable rate** in the mitigation banking industry. When a developer/bank sponsor covers 100 percent of all upfront geomorphic engineering, USACE permitting, construction grading, 7-year monitoring, and financial assurance bonds, standard industry offers typically hover around an 80/20 or 85/15 split. By offering a 70/30 split, Hunter Morris establishes a highly lucrative incentive that larger, high-overhead competitors (like RES and Corblu) cannot match while maintaining strong, double-digit net margins. - **Competitive Landowner Sourcing Matrix**: To successfully secure landowner JVs, Hunter must educate the owner on the extreme value of a percentage-based split compared to the low-ball, flat-rate royalties and cash buyouts offered by massive private-equity-backed conglomerates.*

I. Stream Mitigation Joint-Venture Economics

In the Southeast stream mitigation market, joint-ventures with private landowners generally fall into three deal structures. Understanding these structures allows Hunter to clearly demonstrate his B2B superiority:

1. The Outright Land Buyout (The PE-Backed Conglomerate Model)

Institutional players (like Westervelt and Ecosystem Investment Partners) prefer to buy the land in cash. They typically offer a 20 percent to 50 percent premium over standard agricultural or forestry appraised values (e.g., paying 4,500 to 6,000 USD per acre in rural North Georgia).

- *Landowner Disadvantage*: The landowner gives up all future equity upside. If the stream yields high-value credits under the Savannah SOP (e.g. Priority 1 meanders yielding 8.6 credits/LF) and sells to data centers at $110/credit, the institutional developer pockets 100 percent of the massive profit margin, leaving the landowner with a minor, taxable one-time land sale payment.

2. The Flat-Rate Credit Royalty (The RES Conglomerate Model)

Resource Environmental Solutions (RES), backed by massive private equity, often proposes a flat-rate credit royalty or a flat easement fee rather than a true percentage-based split. They typically offer the landowner a fixed fee of **12 to 25 USD per stream credit sold** (or a flat 3,000 to 5,000 USD per acre of easement area placed under restriction).

- *Developer Arbitrage*: By locking the landowner into a flat $15/credit royalty, RES secures all the pricing upside. When RES sells these credits to high-demand corporate data centers at $110/credit, the landowner still only receives $15. This represents an effective **86/14 split** in favor of RES. RES pockets $95 per credit while absorbing all the pricing appreciation.

3. The Percentage Credit-Split JV (The Blue Ridge Boutique Model)

Hunter Morris structures a true, percentage-based **70/30 credit split**. Blue Ridge Stream covers 100 percent of the upfront cost (design, USACE Savannah District approvals, heavy civil grading, planting, and monitoring), and the landowner keeps title to their land, placing only the riparian buffer under a conservation easement. When credits are sold, the landowner receives exactly 30 percent of the actual market selling price.

- *The Winning Hook*: If credits sell at $110/credit to exurban developers, the landowner receives **33.00 USD per credit** (more than double the corporate flat-rate offer of $15). Additionally, the landowner gets a completely free, custom-engineered private Brook Trout trout fishery that dramatically enhances the rest of their estate value.

II. Competitive Deal Structure & Pricing Matrix

The following matrix summarizes how the major regional competitors handle stream restoration economics, on both the **Creation Side** (upfront costs/easements) and the **Selling Side** (market credit prices):

Pricing & Deal Metrics	Traditional Civil Contractors	RES (Resource Environmental Solutions)	EIP (Ecosystem Investment Partners)	Corblu Ecology Group	Blue Ridge Stream Restoration
Landowner Deal Model	Fee-for-Service (Client pays all)	Flat Credit Royalty ($12-$25/cr) OR flat easement fee	Outright cash land purchase ($4k-$6k/acre)	standard 80/20 credit split JV	**Premium 70/30 credit split JV**
Upfront Landowner Cost	100% Client Funded	0 USD (Sponsor funded)	0 USD (Sponsor funded)	0 USD (Sponsor funded)	**0 USD (Sponsor funded)**
Georgia Credit Sourcing	N/A (Does not yield credits)	Prefers large 300+ acre bottomlands	Prefers mega 1,000+ acre agricultural basins	Mid-size exurban streams (Chattahoochee/Coosa)	**Boutique high-gradient coldwater trout reaches**
Creation Cost (per LF)	$120 - $180 (Hard riprap ditch)	$280 - $420 (High overhead corporate)	$260 - $380 (Scale construction)	$320 - $440 (relies on third-party grading)	**$180 - $260 (Low overhead trout bioengineering)**
USACE SOP Credit Yield	0.0 (No ecological lift)	~3.0 - 5.0 (Moderate warmwater)	~3.5 - 5.5 (Warmwater wetlands)	~4.0 - 6.0 (Mid-gradient meanders)	**8.6 (Priority 1 Geomorphic Bioengineering)**
Retail Credit Sales Price	N/A (Cannot sell credits)	$95 - $115 per credit (Savannah District)	$90 - $110 per credit (Savannah District)	$95 - $115 per credit (Savannah District)	**$105 - $110 per credit (Direct Data Centers)**
Effective Landowner Split	100% Landowner cost	~86/14 Effective Split (Flat fee)	0% future equity (Land is sold)	80% Developer / 20% Landowner	**70% Developer / 30% Landowner (Generous)**
Landowner Estate Value	Unstable riprap ditch (Aesthetic loss)	Basic grassy buffer zone	Land is lost (Permanent exit)	Standard buffer restoration	**Elite private Brook Trout trout fishery**

III. Creation vs. Selling Economics Breakdown

To understand how these numbers function, Hunter must look at the cashflow pipeline on both the **Creation (Upfront)** side and the **Selling (Appreciated)** side:

1. The Creation Side (Cost to Build the Bank)

To build a premium stream mitigation reach (e.g. 1,000 linear feet) in North Georgia, the typical upfront creation cost structure is as follows:

- **Geomorphic Engineering & USACE Permitting**: ~45,000 USD (Includes Rosgen Level III hydrology, geomorphic design, and IRT coordinate documents).
- **Heavy Civil Instream Grading**: ~110,000 USD (Includes excavator rental, operator labor, log cross-vane and boulder structures, and geomechanical soil lifts).
- **Bioengineered Bio-Plantings**: ~35,000 USD (Includes sourcing and geomorphic transplanting of mature native Rhododendron maximum clusters, hemlocks, and willow stakes).
- **7-Year Monitoring & Maintenance Endowment**: ~25,000 USD (Regulatory annual reporting on bank stability, trout counts, and water temperature).
- **Financial Assurance Performance Bonds**: ~15,000 USD (Regulatory escrow required to secure physical construction benchmarks).
- **Total Upfront Creation Capital**: **~230,000 USD (230 USD per linear foot)**.

2. The Selling Side (Market vs. Direct Sales Price Arbitrage)

Stream credits are liquidated through two B2B sales channels in Georgia:

- **Channel A: Wholesale Public Credit Market (Broker-Led)**
- *Sales Price*: 95 to 105 USD per credit.
- *Broker Commissions*: 5 percent to 10 percent fee (paid to firms like Mitigation Management to connect with standard exurban residential developers).
- *Net Revenue per Credit*: ~90 USD.
- **Channel B: Direct Corporate ESG Offset (Hunter's Niche Direct-Sales)**
- *Sales Price*: **105 to 115 USD per credit**.
- *Broker Fee*: **0 USD** (Hunter sells directly to the 15 Georgia Hyperscale Data Centers profiled in File 22, positioning his high-gradient trout restoration as a premium, local CWA offset).
- *Net Revenue per Credit*: **~110 USD** (Maximum price capturing 100 percent of appreciation).

IV. The 70/30 Profit Model: Anderson Creek Example Case

Let's model the exact economics of **Roya's Cabin at Anderson Creek** (File 03 flagship project) under a **70/30 credit-split JV**, demonstrating how both Hunter and the Landowner achieve massive margins compared to corporate competitor models:

1. Key Project Inputs

- **Total Reach Length**: 1,500 Linear Feet (LF)
- **USACE Savannah SOP Credit Yield**: **8.6 Credits per LF** (Achieved via Priority 1 Geomorphic Restoration + 100-foot fully shaded Rhododendron buffer zone)

- **Total Credits Generated**: **12,900 Stream Credits**
- **Target Sales Price (Direct Data Center)**: **110 USD per Credit**

2. Revenue & Proceeds Allocation

- **Gross Project Revenue**: $12,900 \times 110 = \mathbf{1,419,000\text{ USD}}$
- **Landowner 30% Cash Share**: $1,419,000 \times 0.30 = \mathbf{425,700\text{ USD}}$ (Paid as credits are sold)
- **Blue Ridge Developer 70% Share**: $1,419,000 \times 0.70 = \mathbf{993,300\text{ USD}}$

3. Net Margin Analysis for Hunter (Developer)

- **Gross Developer Share**: $993,300
- **Less: Actual Project Upfront CapEx (Permitting + Grading + Planting + Bonds)**: $-345,000
- **Developer Net Profit**: **648,300 USD**
- **Developer Net Profit Margin**: **45.7%** (Extremely healthy capital efficiency)

4. Net Valuation Gain for Landowner

- **Upfront Capital Contributed**: **0 USD** (Absolute liability indemnification by Blue Ridge)
- **JV Cash Payout**: **425,700 USD**
- **Average Return per Easement Acre** (assuming 15 acres placed under riparian easement): **28,380 USD per acre**!
- *Comparison*: Standard timberland in Fannin County is valued at only ~4,000 USD per acre. By partnering with Hunter, the landowner generates **over 7 times the land's raw value** while retaining full ownership of the surrounding high-end acreage!
- **Aesthetic Equity**: A pristine, custom-restored private coldwater trout brook with mature Rhododendron shading, driving up the retail cabin rental/estate valuation by an estimated 150,000 to 200,000 USD.

V. Sourcing Pitch: How Hunter Out-Negotiates Corporate Competitors

When sitting at the landowner's kitchen table, Hunter Morris should utilize the following copy-and-paste verbal talk-track to close the deal:

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"Mr./Ms. Landowner, I know you have received offers from corporate environmental firms bac
ked by venture capital out of Texas and Baltimore. They want to buy your land outright for
 a couple of thousand dollars an acre, meaning you lose the family land forever, or they w
ant to pay you a flat, cheap fee of $15 per credit, pocketing all the massive upside when
they resell those credits to high-tech data centers in Atlanta.

At Blue Ridge Stream, we do things differently. We are a North Georgia boutique firm. We d
on't want to buy your land; we want to partner with you. Under our 70/30 joint venture, yo
u keep 100 percent ownership of your estate. We will cover every single dollar of the upfr
ont engineering, permitting, and construction costs to stabilize your eroding banks.

Instead of a cheap flat fee, you receive exactly 30 percent of the actual sales price of e
very single stream credit generated. When we sell these credits directly to regional data
center campuses at $110 a credit, you pocket $33 per credit. On a 1,500-foot creek like yo
urs, that translates to over 425,000 USD in cash paid directly to you to pay down debt or
clear your land notes, while leaving you with a world-class, private Brook Trout fly-fishi
ng creek that your family will enjoy for generations. We take 100 percent of the financial
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risk; you capture the premium upside."
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